NATURE AND CLASSIFICATION OF PROPERTY

It is common for people to adopt a possessive attitude towards what they consider to be their property. This makes it important to discuss the nature of property. The word "property" refers to that which belongs to a person i.e. one's belongings. Property may be movable or immovable, tangible or intangible etc.

The two main divisions of property however are real property and personal property. Property may also be classified as "choses in action" or "choses in possession".

Real property

The term real property refers to immovable property as well as rights derived from such property. We refer to the soil itself, building, minerals and all other things which form part of or are attached to land. On the other hand there are rights derived from land such as rights of way, rights to collect water from another's land or rights to collect firewood from another's land. Where such rights exist, they are legally recognized and protected in land law.

Land law is therefore referred to as the law of Real property. The term real property therefore refers to property that is immovable. On the other hand, movable property is also referred to as chattels. The other name for personal property is personality while real property is also referred to as 'realty'.

Chose in possession

This is a tangible right that is capable of physical possession. A chose in possession may be real or personal property. Therefore land as well as other tangible property are chooses in possession because there be capable of being possessed physically.

Chose in Action

Unlike a chose in possession, a chose in action is an intangible right that cannot be physically possessed. Where one wants to enforce their rights to a chose in action, they may only do so by action in court. In most instances, a chose in action is a right arising under a contract. Examples of choses in action include a debt eg. If "A" owes "B" a sum of money, the debt is intangible and cannot be physically possessed. B can only enforce his right by suing on the contract in order to recover the money owed to him. Though the debt is an asset to the creditor "B", the creditor cannot insist or physically possessing the debt. Other examples include shares in a company, intellectual property rights (eg. Copyright, Trademarks and patents). If a shareholder's rights are violated, he can only sue to get a remedy but cannot insist on physically possessing shares.

The concepts of ownership and possession

THE CONCEPT OF OWNERSHIP

The concept of ownership is a complex one and ownership has a multiple of meanings. The Roman concept of ownership, for example, is absolute – 'the right to use, abuse and dispose of' property. Similarly, John Austin expresses the idea in equally absolute terms: 'A right, indefinite in point of user, unrestricted in point of disposition, and unlimited in point of duration, over a determinate thing'

The extent of a person's right over property in respect of which the person has a claim depends on whether he is the owner or just a possessor of the property in question. This makes it important to analyze the concepts of ownership and possession.

Ownership

An owner of property is entitled to hold an absolute right over such property and in particular the right to exclusive use and possession of the property. Generally ownership may be acquired in a number of ways.

1. By taking an original claim- for example where the land has never been owned by any one for example virgin land in a forest. If it is acquired originally by a person who clears it and puts it to some productive use, such person acquires an original claim but if such a person abandons the land and someone else takes it over, the second owner acquires an original claim in the sense that his ownership is in no way attributed to the 1st owner's rights.
2. Ownership by derivative means

   When property is acquired from its original or current owner who at the time of subsequent acquisition had not abandoned the property, its ownership is said to have been derived from the previous owner.

   LEGAL NATURE OF LAND

   The definition of the term "land" in law is generally the same as the meaning attached by a lay person to the term land. Land is therefore often defined by giving what it is composed of "land" included the surface of the earth i.e. soil and everything of a physical nature on or below the earth surface such as buildings, vegetation, water bodies, minerals and even the space above the earth surface. Land also includes certain interests derived from land ownership/possession.

   These may include rights of way or a right of one who owns building not be obstructed from light these rights are referred to easements. There are other rights referred to as profits appended which refer to rights to enter another's land and take out from such land, something capable of ownership such as a right to collect firewood. Profits just (like, other rights connected to land) are not automatic but where they exist, land law recognizes them.

For purposes of Law of property Act 1925 of Britain, land includes land of any tenure, and mines and minerals whether or not held apart from the surface, buildings or parts of buildings, whether the division is horizontal, vertical or made in any other way and other corporeal hereditaments and other incorporeal heredetirments and an easement, right privilege or benefit in overall derived from land.

The word heredeterment signifies a right that is hereditable i.e. it can be inherited that capable of passing by way of descent to heirs. Hereditaments are either corporeal or incorporeal.

Corporeal consists of things such as affecting the senses and as may be seen and handled by the body. Incorporeal are not the object of sensation. They can neither be seen nor handled. They are creatures of the mind and exist only in contemplation. Corporeal hereditaments consist of substantial and permanent objects.

The other definition of land is derived from a Latin Marxism ***"culus et solum, cius ost usqua ad colotium et ad inferious"*** this means a person to whom the soil belongs also owns the heavens above and everything below. This shows therefore that land is more than the physical earth's surface.

The statutory definition of land encompasses the wide definition of law. **S.1** of the R.T.A Cap 230 defines land to include messuages, tenements and hereditaments corporeal or incorporeal; and in every certificate of title, transfer and lease issued or made under this Act, "land" also includes all easements and appurtenances appertaining to the land described therein or reputed to be part of that land or appurtenant to it.

According to the Section 2 (ii) of the Interpretation Act land is defined to include messuages, tenements, hereditaments, houses and buildings of any tenure and land covered by water.

A hereditaments is a right that can be passed on/ inherited e.g. by way of will.

Corporeal hereditaments refer to things that can be seen i.e. can affect senses. These are physical features of land and consist of the surface itself and things attached to it. They are tangible and include crops, trees e.t.c.

Incorporeal hereditaments are rights in land that are intangible. They may not be physically seen but the effect can be felt by the owners.

Messuages refer to physical structures such as houses and buildings as well as gardens.

Tenements refer to things that may be held by the tenant

Appurtenances refer to rights whether enjoyed severally or in common with others that attach to land through an act of person or grant.

Easements are rights which one person enjoys over the land of another e.g. the right of way.

All the definitions of land may be wide or narrower depending on the object of a particular legislation. It's important to define land because the definition will be the basis of determining the nature and extent of the land owner against any other person of the community.

Ownership of the surface land also carries with it rights over what is below the land and the airspace above the surface.

Historically, it was said that whoever owns the soil owns everything up to the heavens and to the depth of the earth. This would have been possible at the time when it was not possible to exploit everything above the space.

Rights above the Air Space

The air space above the surface land belongs to the owner of the surface land. Any intrusion in the airspace whether it is significant as to cause damage to the surface or it is insignificant is of no consequence because it is a trespass.

In the case of Kelson Vs Imperial Tobacco of Great Britain (1957) 2QB 334, the defendant erected an advertising bill board and it was rising 8 inches over the plaintiff's building. It was held that the intrusion in the airspace constituted a trespass to land and the defendants were ordered to remove the offending billboard.

Causby,U.S. v. Causby, 328 U.S. 256 (1946). the Court determined that flights over private land may constitute a diminution in the property value if they are so low and so frequent as to be a direct and immediate interference with the enjoyment and use of land.

What height does the owner's right extend.

In the case of Bernstein Vs Sky Views (1978) QB (479) Lord Bernstein, the owner of a large country estate, brought an action in trespass against a company for flying over, and taking photographs of, his land. The case turned on whether the airspace formed part of the claimant's land.

Griffiths J held that; the rights of the owner of land in the airspace above it extends '*to such height as is necessary for the ordinary use and enjoyment of his land and the structures upon it*'. Above that height, the landowner has no more rights than the general public. Aircraft flying at a normal height do not trespass upon land, so Lord Bernstein lost the case. It was held that the test is not whether the trespass actually interferes with the land owner's actual use of the airspace rather is whether the trespass is most likely to interfere with the ordinary use of the land by the owner.

Look at Condominium Property Act 4 of 2001.

Rights below the Surface

The owner of the land may have his rights below the surface curtailed or hampered in some cases. It's however trite law that the owner of the surface land also owns the depth of the land below. It should be noted that under art. 244(2) of the constitution and **S. 2** of the **mining Act cap 148** the entire property and control of mineral, petroleum under or upon any land or water in Uganda are vested in the government. That means that the ordinary person does not control minerals or mining unless authorized by government.

***Bocardo v. Star Energy* [2009] EWCA Civ 579**

This case contains an interesting point about ownership of the land 'down to the depths of the earth'. The claimants were the owners of an estate in Surrey. The defendants were holders of a licence under the Petroleum Act 1934 to search and drill for and pump out petroleum products from an oil field that extended partly under the claimant's land. The defendants carried out their drilling operations from land next to the claimant's estate but, unknown to the claimants, their oil wells extended under the claimant's land.

The claimants eventually found out about the oil wells and claimed damages for trespass to their land. The defendants argued that the oil wells were so deep underground (a minimum depth of 800 feet) that they did not affect the claimant's use of the land in any way; the claimants had been unaware of them for years and therefore they did not trespass on the claimant's land.

> The Court of Appeal held that the oil wells were a trespass. Although they were deep below the surface, the subsoil belongs to the owner of the surface unless it has been granted to someone else. The petroleum products belonged to the

state by statute (Petroleum Act 1934), but not the subsoil. It was not a trespass to remove the petroleum, but it was a trespass to drill wells under the claimant's land without permission. The defendants were therefore ordered to pay compensation to the claimants.

Rights On The Surface

Any land owner would want to know the extent of his/ her ownership. Usually that involves establishing boundaries. This is why when one is dealing with the title of land, there is always a deed print.

Usually the physical dimensions are not in issue until the land boarders a water body where the process of erosion and deposition may affect those dimensions. Over time land bordering a river may have eroded, soil being deposited down the stream making one piece bigger and the other smaller.

A doctrine has been developed as a legal mechanism to resolve disputes arising from changes in land bordering water.

Accretion; which means that any naturally occurring addition of soil to water sidelines become the property of the owner of that land.

EXCLUSIONS

Look at;

Land Act Cap 227 Sections: 70; 71; 72; 73

The Mining Act No.9 of 2003

Water Act Cap 152

Nationa Forestry and Tree Planting Act No.8 of 2003

Aerodromes (Control of Obstructions) Act Cap 352

Access to Roads Act, Cap 350

FIXTURES

These are chattels attached to land in such a way to become part of the land. In other words these, objects once placed on the land lose their character as chattels and in law become part of the land and therefore property of the land owner. This is summed in the Latin Maxim ***Quid Quid plantutur solo solo cedit*** which means that whatever is attached to soil belongs to soil. This maxim is primarily used to define the rights of a land owner over things that are attached on his land. The classical rule is that where a person (tenant) fixes a thing, (charts) on land of another person (landlord) in such a way that it becomes a fixture, it becomes the property of the landlord and the landlord has no obligation to compensate the tenant for such property.

It is a cardinal principle of the common law, that whatever is attached to the soil is part of the soil. This has been summarized as follows. If a building is constructed on land and objects are attached to the building the word land in this case includes the building itself and the objects attached to building. Meggary's manual of the law of

Real Property says that even if one building was constructed using stolen materials, they all in law become a gift to the ultimate/absolute owner of the land.

In the case of **Francis vs Ibitoye (1936) Nigerian L.R 1.** The plaintiff was negotiating to buy the land of the defendant, however before any agreement was reached and without any consent of the defendant (landlord). The plaintiff constructed a house on the land and the negotiations having failed, the plaintiff sued the defendant for compensation of the building.

It was held that the landowner was under no obligation to compensate the plaintiff for the development on the land.

Case: Lomolo Vs Kilembe Mines (1978) HCB 175, it was held that the landowner is under no obligation to compensate a trespasser who has made improvement on his land.

Exceptions

In the case of Uganda, Section 3 (4) of the Land Act, Mailo tenure is defined inter alia as the tenure which " permits the separation of ownership from ownership of developments on land made by a lawful or bonafide occupant" Therefore, fixtures attached by a lawful or bonafide occupant on mailo land remain the occupant's property.

Secondly, an aggrieved tenant who cannot be compensated under the law may recover under equity. These are the doctrines of Proprietary estoppel or Estoppel by acquiescence or by encouragement **Proprietary estoppel** is when the tenant assumes some form of proprietary interest in the property e.g. where the tenant thought he had bought the property with the permission of the landlord in such a manner as to make the landlord liable for compensation.

Estoppel by acquiescence; Under this doctrine where it is proved that the landlord acquiesced or encouraged the tenant in the mistaken belief that such a tenant was having interest in land then such a landlord is estopped from evicting the tenant afterwards without compensation. **In Ramsden V Dyson (1866) LR 1, HL 129:140-41**. The respondents constructed a number of houses on the appellant's land (their father). The appellant was aware of these developments and acquiesced (accepted without protest) the respondent's building on his land. Court held that the respondent had an equitable right on the land and it could only be discharged by the appellant paying compensation for structures put on the land It was further clarified that this intervention can only arise under the following instances;

i) One must spend money or did an act honestly believing that the land in question is his or that he is authorized by the owner.
ii) It must be with the knowledge of the owner of his proprietorship of that land and that the other party is mistaken of the true ownership of that land.

it was further held that a person mistakenly believing my land to be his and makes development basing on such mistaken beliefs within my knowledge it would be dishonesty of me if I don't inform him in advance of such a mistake, and it would be dishonesty of me to profit from such a mistake if I should have prevented it.

Babinga Vs Kelegyesa, High Court Civil Appeal 13, the respondents built a number of houses on their father's land without his consent, when the father tried to evict them it was held: that the appellant was very much aware of the sons' development on his land and he had acquiesced in the sons' buildings and accordingly the respondents had an equitable right to the land and their rights would only expire upon adequate compensation for the buildings they had constructed.

How to determine whether a chattel has become a fixture

The question that arises is how to determine whether a chattel has become a fixture. This is a question of law to be determined by the judge. However, the answer to the question revolves around the circumstances of each case.

The case of **Holland V Hodgson** lays down principle so far as ascertaining whether objects attached to the land are chattels or not. In this case, Mason was the owner of a certain plot of land on which he carried on the business of textile manufacture. He mortgaged the land and all the fixtures on it to the plaintiff. In his bankruptcy he assigned all his property to the defendants in trust for the benefit of unsecured creditors. The defendants seized 436 looms in the factory and sold them. The looms were attached to the floor of the factory by nails driven through in the feet of the looms. In some cases they attached to the floor by plugs of wood built for that purpose. It was impossible to remove the looms without drawing out the nails but this could easily be done without causing any serious damage to the floor. The plaintiff claimed that the looms were fixtures and they therefore formed part of the mortgaged property. The court held that prima facie the looms were fixtures since they were not resting on the ground by their own weight alone but they were attached by nails and belts. It was further found that the object of annexation was to carry out a permanent improvement onto the land. Court held that though the looms were slightly attached and could easily be removed, the object of the owner in setting them up was to enhance the value of the factory premises to which they were attached. It was finally established that they were fixtures and part of the mortgaged land.

Consequently, even the judges' decision in the case of **Holland Vs. Hodgson. 1872 LR7 CP 328-334** where the court held that where a chattel has been so fixed to land as to become part of it, is sometimes an exceedingly difficult to answer. It is a question of law to be determined by a judge but the decision in one case is not sure guide in another. Everything turns upon the circumstances namely:-

1. The degree of annexation
2. The purpose or object of annexation

Therefore there are two main tests that are used in deciding whether a chattel has become a fixture.

Degree of Annexation (attachment)

This concerns the extent of the physical attachment of the chattel to the land or a building, an item that is attached to the land by some other means other than by its weight, prima facie, is deemed to be a fixture. So the more firmly or irreversibly the object is affixed to the earth or building, the more likely it would be classified as a fixture. But an item resting on the ground by its own weight, is prima facie a mere chattel and the onus of proof is on the person asserting it is a fixture.

The slightest attachment of a chattel to land or a building prima- facie makes it a fixture. In the case of **Bush land Vs. Butterfield 1920 20** board and Bing law report, where it was held that there was sufficient connection of a verandah to the house to make the verandah part of the building.

If a chattel can be removed from the land without that chattel losing its identity then it prima-facie the chattel remains a chattel. Questions of whether such an object should be removed or not should therefore not be of issue in land law. If it is possible to separate chattel into 2 parts one part of which remains a chattel and the other part a fixture, then it will be held that the removable part is chattel. In the case of **Webb Vs Pevis Ltd (1940) 1 E.R 247**, the court held that the concrete was separate from the entire structure and the superstructure could be removed without destroying the foundation and that therefore, the super structure was a chattel.

The Object/Purpose Of Annexation

In the case of Holland Vs Hodgson it was stated that perhaps, the true rule is that articles which are attached to the land by their own right cannot be part of land unless the circumstances are such as to show that they were intended to be part of the land. From this holding, it can be concluded that the purpose of annexation is to be derived from the intention of the party that put an object on the land.

The tendency is to regard the purpose of annexation as the main factor in deciding what is a fixture. However according to some court cases the degree of annexation is used as evidence to establish the purpose of annexation. It is the practice to consider an object as a permanent improvement of the land and therefore as a fixture depending on how much damage will be caused by is removal, The more the damage, the greater the degree of annexation and the more likely it is that: the object was intended to permanently improve the land in which case! it would be a fixture in other words if it can be showed that the intention was to effect/make permanent improvement in the land, then object is a fixture and not a chattel. This was emphasized in the case **Spyer Vs Philipson (1931) CH. 183**. However it should be noted that a comparatively durable method of annexation will not make a chattel a fixture if the method of annexation is necessary for the proper enjoyment of the chattel as a chattel e.g. a dressing mirror that has to be affixed to the building' in order to be used.

THE RIGHT TO REMOVE FIXTURES.

In deciding whether an object found on land can be removed or not the first consideration should be to decide whether that object is a fixture or a chattel. Having ascertained that the object is a fixture, then the general law is that such object cannot be removed because it's part of the soil. A fixture may only be removed if its removal is covered by express agreement or if it fails into the common law exceptions to the general rule that whatever is attached to the soil becomes part of the soil (quit quid plantarur solo, solo credit). It is open for the parties to agree in advance of at the time of termination of a tenancy that the absolute owner of the land will compensate the tenant for the fixtures.

In situations where the agreement is silent or where there is no agreement, the right to remove a fixture can only arise if the object falls under the common law exceptions. Under the common law three exceptions were developed by the courts.

1. **Trade fixtures**

   These are fixtures attached by the tenant for purposes of his/her trade e.g. grinding mill sign post etc.

   POOLES case (1703)1 Salk 368. In this case it was held that during the term the soap boiler might remove the vats he set in relation to trade however that this can only be done during the subsistence of his term because after the lapse of his tenancy they become a gift in law to the landlord in reversion and are not removable.

   Refer to **Smith Vs. City petroleum Co 1940 I ALLER 260** where petrol pumps and tanks planted in the land were held to be tenant's fixtures removable by the tenant. However all tenant's fixtures must be removed either during the tenancy or within a reasonable time after expiry of the tenancy, the right to remove them is lost.

   What is a reasonable time is a question of fact and depends on the circumstances of each particular case.

The term "tenant fixtures" therefore refers to fixtures that are removable by the tenant. In Smith's case (above) the owners of petrol tanks did not remove them during the tenancy or within the reasonable time thereafter. It was argued by the new operator of the petrol station that the pumps had been passed on to him by the previous tenant. It was held that the only right the original tenant had was to remove the trade fixtures during the tenancy or within a reasonable time after its expiry and that he had no- right to pass on the trade fixtures to the new exception of fixtures was developed to promote commerce and industry.

Domestic fixture

There are chattels fixed to a building for ornament or convince purposes e.g a mirror on a wall. The same rule as to the right to remove trade fixture accused above applies to this class of tenant's fixtures as well. In other words, it must be removed during the tenancy or within a reasonable time thereafter.

Agricultural fixtures

Common law agriculture was regarded as a normal user of the land and not a trade. Agric fixtures were therefore regarded as a separate or distinct exception. The fixtures can be removed any time during the tenancy but the tenant must; notify the land owner in writing, have paid all the rent due, avoid all avoidable damage and if its done, he must make good the damage, and where possible, he can give the land owner the option of compensating him for the fixtures.

In the case of **ELWES v MAWS (1802) East 36** where a tenant farmer built a beast house, carpenter's shade a fuel house, a Wagon house etc which he removed before the lapse of his lease. The landlord sought damages for the removal and the farmer was made liable to pay damages to the landlord for such removal. However in 1901 in the case of MEARS V CALLENDER (1901), CH 388 the right to remove agricultural fixtures was authorized.

The 1998 Land Act, sec. 37 (1) (b) authorizes the occupant (lawful or bonafide) to remove any structure; buildings and other things placed by him or her on land but not dams or trees.

DOCTRINE OF TENURE AND ESTATE

Doctrine of Tenure

Land tenure is the relationship, whether legally or customarily defined, among people, as individuals or groups, with respect to land. (For convenience, "land" is used here to include other natural resources such as water and trees.) Land tenure is an institution, i.e., rules invented by societies to regulate behaviour. Rules of tenure define how property rights to land are to be allocated within societies. They define how access is granted to rights to use, control, and transfer land, as well as associated responsibilities and restraints. In simple terms, land tenure systems determine who can use what resources for how long, and under what conditions.

-speaks to the basis upon which land is held, in other words to the concept of ownership. For example, in layman's terms, "I own Black acre," however, you don't own it, you have tenure, i.e. you are a tenant.

Land tenure thus constitutes a web of intersecting interests. These include:

- Overriding interests: when a sovereign power (e.g., a nation or community has the powers to allocate or reallocate land through expropriation, etc.)

- Overlapping interests: when several parties are allocated different rights to the same parcel of land (e.g., one party may have lease rights, another may have a right of way, etc.)

- Complementary interests: when different parties share the same interest in the same parcel of land (e.g., when members of a community share common rights to grazing land, etc.)

- Competing interests: when different parties contest the same interests in the same parcel (e.g., when two parties independently claim rights to exclusive use of a parcel of agricultural land. Land disputes arise from competing claims.)

Doctrine of Estate -relates to the duration of the interest you have in land, i.e. how long does your tenure lasts, and the rights you have to *alienate* the land.

The Doctrine of Tenure

The doctrine of tenure is the origin of the common law. This was because; fundamental to the doctrine of tenure was the unification of all of England by vesting all land (the sole source of wealth) in the Crown in 1066. William took the right, that since English landowners had denied him his right to the throne, he was compelled to assert it by force. Thus, all who held land after the conquest held of the king. The king was the landlord and those who occupied the land had tenure or were tenants. The consideration for such tenure was the rendering of services or money payments. A grant of land was held only so long as the services were properly performed.**Under the Doctrine of Tenure**

(The land (fief) was burdened-a system of trade and exchange) The king was the ultimate owner and others got land through the process of subinfeudation

King-

↓

Seignories*(their lordships or tenant-in-capite)*

↓

Mesne Lords*(middle lords)*

↓

Tenant in Demesne

Process of Subinfeudation

The process in which there were several sub-tenancies in the same piece of land. This reluctance to part with one's entire land interest was due to the economic significance of land. Apart from cattle, land was the only form of wealth, as money was scarce.

Later on, the ***Statute Quia Emptores of 1290*** was created and it prohibited the practice of subinfeudation and replacing it with the process of substitution.

-no new tenures in *fee* could be created except by the crown;

-the statute altered the law in 2 respects:-

(1) By enacting that every free man should be at liberty to alienate the whole or part of his land without the consent of his lord.

(2) It enacted that every alienee should hold the land of the same lord of whom the alienor previously held.

Forms of Tenure

The form of a tenure was differentiated by the service which had to be performed.

Knight Service **–** military service in return for land, wardship, marriage, aids, escheat.

Socage **–** now known as freehold –free from the incidents of knight service tenure;

-it became the great residuary tenure;

-included every tenure which was not knight service, frankalmoin or villeinage;

-outstanding characteristic came to be that it involved some service which was absolutely fixed and the vast majority of cases took the form of a money payment.

Sergeanty **–**services of a personal nature –it conferred honour and dignity.

Spiritual Tenure (Frankalmoin) **–**praying for the soul –a free tenure.

Villein/Copyhold **–**non-free, agricultural service, tenants at the will of the lord**;**Later replaced by money payment.

All this tenures were abolished under the Tenures Abolition Act 1660 except for 2 types:- (1) Socage

(2) Copyhold- so-called because when a tenant sold his interest, the sale was recorded and the buyer would receive a copy of the rolls evidencing the sale and he became the *copyholder*.

-this was the first system of registration of titles; was later abolished in 1925.

The Doctrine of Estate

The doctrine of estate provides the vehicle by which the complexity of use can be realized. Land may have more than one person with an interest in it and the interest which each person has may be different both spatially and temporally. Thus, the nature of land is such its enjoyment requires a flexibility to enable a complexity of usage and application.

Classification of Estates

Estates may be classified by the characteristic of their *duration*. Based on this, 2 classes of estates are recognized:

(1) Freehold estates

(2) Leasehold estates.

Freehold Estates	**Leasehold Estates**
-so-called because the holder of the estate held it free from servile incidents as in the villein tenures (copyhold)	**-are enforceable by personal action for the recovery of damages.**
-these were the *free tenures* comprising socage, sergeanty and knight service. They had in common the fact that they were of uncertain *duration*-a distinguishing feature of a freehold estate from an estate less than freehold.	**-leasehold estates are personalty. Personalty is divided into 2 categories:** **(1) chattels real** **(2) chattels personal**
-those less than freehold has a termination date that is *fixed* or	**-leasehold interests are categorized as chattels because they partake of**

capable of being fixed. **-freehold estates of whatever duration are enforceable by real actions that will restore the estate *in specie.*** **-freehold estates are real property.**	**the nature of real property.**

Inheritable Estates v. Non-inheritable Estates

-freehold estates are divided into *freeholds of inheritance* and *freeholds not of inheritance.*

-the word fee tells you that the estate is inheritable

2 freeholds of inheritance are:

Estate in fee simple	**Estate in fee tail**
-the largest estate known to the Common Law in point of duration. **-equivalent to absolute ownership.**	**-can only be inherited by descendants of the holder, e.g. *to x and the heirs of his body.***

-any heir of the holder may inherit, i.e. whether descendant, ascendant or collateral, e.g. ***to x and his heirs.***	

***<u>Estates for life</u>*-** are not inheritable since they determine at the death of the holder of the estate**.**

<u>**Immediate v. Future Interests**</u>

Estates in land may be classified based on whether the right to occupy the land is *immediate* or *sometime in the future.*

-an estate is the right to possess and use the land for the period of time for which it has been granted.

-an estate in land with the right to possession postponed to the future, is just as much an interest in land as an estate that is entitled to immediate possession. It is a present existing title to land.

-if there is no right to possession now or in the future, there is no estate in land.

An estate in land is either:-

(a) *an estate in possession*-gives an immediate right to possession and enjoyment of the land;

(b) *an estate in remainder*-gives a future right to possession and enjoyment;

(c) *an estate in reversion*-a future right to possession and enjoyment by the original grantor of his heirs after the termination of a prior estate granted or a failure to dispose of an ultimate interest.

THE LAND TENURE SYSTEMS IN UGANDA

Before British colonization, land in Uganda was customarily owned and held. The rights and obligations arising from land ownership/ occupation varied from custom to custom. However there were common features in all customs. In most customs, there were restrictions on selling land to non-family/clan members.

When a family or clan member wished to sell their interest or customary holding for one reason or the other, it was required that priority be given to the family/clan members. This meant in effect that ultimately, land under customary tenure was owned by the family/clan. Customary tenure did not have registration of land and hence there were no land titles.

However with the coming of colonialism, a new political and colonial setting was gradually introduced and with it new systems of land tenure were introduced and co-existed with the old.

The 1900 Buganda Agreement formally made far reaching changes to Uganda's land tenure systems by introducing freehold, lease hold and what later came to be known as mailo land tenure. These new systems of tenure were introduced because the British thought that they were necessary for the economic and social development of Uganda. It is also possible that these systems were introduced because the British did not understand the local systems which as seen above varied from place to place.

LAND TENURE IN COLONIAL AND POST COLONIAL UGANDA

The emergence of new tenure systems:

One of the influences that impacted on the Customary system of land holding was the introduction of new systems of land holding after colonialism. These are covered below:

The colonial state in Uganda was built on the official philosophy of protectorate and indirect rule rather than colony, territory or direct rule. The Colonial state didn't introduce radical changes in the system of customary tenure in Uganda. The dominant economic structure chosen for Uganda was one of small peasant agriculture under the prevailing customary tenure. However, other land policies which could accommodate customary tenure were introduced to appease the local chiefs and get local political allies in the effective administration of the country. The colonial administration thus introduced policies which could accommodate customary tenure.

Mailo Tenure

This system is not a traditional system of land holding in Uganda and is founded on English feudal systems. It was established under the 1900 Buganda Agreement. It was born out of the settlement between the protectorate administration represented by Sir Harry Johnstone on the one hand, and the existing leadership in Buganda (at the time) represented by elders and chiefs – on the other hand.

In 1900, Sir Harry Johnston, as Her Majesty's Special Commissioner in Uganda, entered into a historic agreement with the Kabaka's regents (Stanislus Mugwanya, Zakaria Kisingiri and Apollo Kaggwa, and Chiefs of Buganda. This agreement was to establish clearly the powers of the Kabaka's government vis-à-vis the protecting power and the limits of those powers and, paramount of all, to effect a land settlement which, by giving security of tenure, would lay the foundation for the economic growth of the Kingdom.

This was the Uganda Agreement of 1900. It was later changed to read: 'Buganda Agreement' by legal notice of 1908. The agreement granted square miles of land to Chiefs and private land owners hence the term 'mailo' deriving from the English length-unit (mile) which was the basis of measurement in land allocations. The agreement divided the land among the crown (Queen's government), the Uganda Protectorate Administration, the Kabaka, his Chiefs and missionary societies. The total land under the Protectorate Government was 10,550 sq. Miles and came to be known as 'Crown land'.

Partly owing to the fact that more land was found to be available than was originally assessed, considerably more land was, after negotiation, allotted as private estates than the agreement provided for. Furthermore, owing to an interpretation by the Baganda that "1000 Chiefs and private land owners" meant "1000 chiefs and, in addition, land owners", thus the number of allottees under this section was, in fact, nearly 4000.

There were two categories of Mailo which were divided thus:

(a) Official Mailo

These were grants of land attached to specific offices in the Buganda Local Government. They could neither be sub-divided or sold and instead passed intact from the original land holder to his successor. This official mailo was defined in sec. 6 (a)&(c) of the Buganda Possession of Land law:

Section 6 "Every man who has land for his chieftainship shall hold it as follows –

(a)For all the time that he holds his chieftainship he will be allowed to take all the profits from the land which he has, except as written in the words below. . . .

(c)To hold land in this manner will be called to hold "official Mailo" and shall be governed as directed above . . ."

The holder of an official estate could not sell that estate but he was capable of leasing the same in accordance with the Official Estates Ordinance/Act of 1918 (Cap. 203 of the 1964 ed. Laws of Uganda). This applied also to the grounds of official estates of Toro and Ankole Agreements. So here, one held land by virtue of his chieftainship (office), thus it was not private property. Under the agreement, it was clear that the 350 square miles given to the Kabaka was to be Kabaka-ship mailo, i.e it was not private property. Official Mailo was abolished in 1967 and these estates became public land.

(b) Private Mailo

In such estates, some 1000 chiefs and private land owners were allocated 8,000 square miles of land under the 1900 Buganda Agreement. The Mailo land owner held rights in his land akin to those of free hold. He was free to sell all or part of his holding and to pass it to his successors either under customary inheritance procedures or through a will. Approximately half of Buganda (more than 8,000 square miles) became formally privatized, despite the fact that these mailo estates were already settled by small holders under customary tenure, whose usufruct (land use) rights were not legally recognized.

Under sub sec. (a) of section 2 (Buganda Possession of Land law), there was a prohibition from owning more than 30 square miles of mailo land, whether by one self directly or by others for someone, except with the approval in writing of the Governor and the Lukiiko (Buganda Parliament). Therefore individual holdings of mailo were not to exceed 30 square miles. The Buganda Possession of Land law 1908 prohibited a mailo owner from transferring land to a person who was not of Ugandan origin without prior consent of the Governor and the Lukiiko.

Clauses 15 to 18 of the 1900 Buganda Agreement dealt with the issue of land. The essence of this settlement was that approximately one half of Buganda became crown land and was vested in the Protectorate government. This is what was referred to as Public Land. The other half was widely distributed in the form of freehold estates ('mailo') to the Kabaka, his relatives, Senior chiefs, one thousand other chiefs and private land owners. These people got square miles of land among themselves. Historical records show that the first mailo title was issued on the 2nd of January 1909 though by 1964, the total number of titles issued was 48,519 (forty eight thousand five hundred nineteen). These grants under the Buganda Possession of land law, 1908, were in the nature of freehold. The new system thus cemented individual title ownership.

The 1900 Agreement, however, did not define the nature of the estate (tenure) that had been granted to the Kabaka, Chiefs, etc. It was not mentioned in the agreement as to what was the character of the grant. The agreement was pre-occupied with the question of acreage. It was not until 1908 that Mailo tenure was actually defined in the Buganda Possession of Land law, 1908. Under Section 2 thereof, for the first time the word 'mailo' which is derived from the English word 'mile' was coined (out of a corruption of the English word) to refer to land which the government had surveyed and recognised as belonging to someone.

In further criticism, allocation of the original mailo holdings in the early part of the century was made without regard to pre-existing rights of occupancy and ignored the presence of peasant cultivators whose tenancy rights were recognised under customary system of land tenure. These people, who had been occupying the land in different capacities, i.e as bibanja holders at the King's pleasure; as Chiefs

(Butongole); as part of Butaka (clan) land, now had to adapt to a new system where they had a land lord directly over them and possessing title to the land. They therefore could no longer hold their land as they traditionally did but under the dictates of the new Mailo system.

Other persons who wanted to settle on mailo land had to approach the mailo owner and get permission to occupy a specific piece of land on terms agreed with the land lord. Initially, most tenants paid little or no rent and labour services, particularly on large estates. Mailo owners were considered lords of their area and their tenants were their servants. Even though mailo owners permitted peasants to retain possession of the land (called kibanja) they were occupying, this effectively converted them from customary land users into legal tenants on private property. This fact alone laid the ground for the genesis of multiple rights on the same piece of land, which is a defining characteristic of land disputes and relations as evidenced by evictions and a land use impasse between land lords and tenants in contemporary Uganda.

The first sign of discontent in the relationship between mailo owners and tenants which brought about conflicts in the mailo system led to the enactment of the Busuulu and Envujjo law of 1928 which provided the tenant cultivators with security on land and set a limit on the fees which they were required to pay to the mailo owner. This law was instrumental in preventing the development of a landless peasant class. It was enacted as a result of complaints from tenants over the land lord's increase in the rate of busuulu and envujjo (rent) payable. Under this law, the rates were standardised and restricted and the peasants could not be forced off their bibanja without an order of Court. [For further information on this interesting piece of legislation, refer to notes on Busuulu and Envujjo law].

The new system with its change in ownership was particularly profound for those who held land as bibanja holdings. They remained as such on mailo but on top of being subjected to Customary obligations, also had to conform to the Busuulu and Envujjo law of 1928.

The Land Transfer Act, No. 33 of 1970 barred a Non- African from acquiring any interest in land owned by an African without consent of the Minister.

The Toro Agreement of 1900 and the Ankole Agreement of 1901

These introduced an almost similar scenario in Ankole and Toro. Here the agreements merely granted estates (in the form of native freeholds) to a limited number of chiefs and vested in the crown all land at the time which was waste and un cultivated. Part of the grants covered land which was customarily occupied. The existing occupants had to adjust their customary occupations in face of the new system of land holding. The relationship ceased to be entirely based on customary rules but became entirely based on British law, particularly the Toro Land Lord and Tenant Law, 1937 and the Ankole Land Lord and Tenant Law, 1937.

Crown Lands Ordinance 1903

In the Toro and Ankole Agreements (1900 & 1901 respectively), no mention was made of land which was cultivated but was not included in the freehold estates. The estates allocated were treated, unlike the mailo estates in Buganda, as grants from the Crown under the Crown Lands Ordinance of 1903.

In the rest of the Country (inclusive of Buganda, Ankole and Toro), two new systems were introduced under the Crown Lands Ordinance, 1903. Under this Ordinance, the Governor was empowered to make grants in leasehold and in freehold over what was called crown land.

It was not until the Crown Lands (Declaration) Ordinance, Cap. 118, was passed in 1922 that the Crown's rights over land, other than unoccupied land, land acquired for public purposes and that covered by the Agreements, was clarified. The Ordinance stated that – "all land and

any rights therein in the Protectorate, shall be presumed to be the property of a person or until the contrary thereof be proved."

The granting in Leasehold and Free hold by the Governor brought about two influences on the customary system of land holding:

i) A person customarily using land together with others, or holding land customarily, could opt out of the customary arrangement and instead apply for a leasehold or freehold title.

ii) It became increasingly possible for people to be bought out from their customarily held pieces of land.

Thus, land held customarily became subject to market forces and individualised dealings. Sec. 24 (2) of the Public Lands Act, 1969 sanctioned the practise of people selling their customary land to those ready to get title. It states as follows:

"A controlling authority shall not make a grant in freehold or leasehold of public land which, or part of which is occupied by persons holding by customary tenure, without the consent of such persons."

The Land Reform Decree, 1975 – Influence on Customary tenure system

The advent of the Land Reform Decree in 1975 led to the repeal of Sec. 24(2) of the Public Land Act (however, this provision is presently reflected in the Land Act). Section 3 of the Land Reform Decree (providing for Customary tenure on public land) provided that:

"(1) The system of occupying public land under Customary tenure may continue and no holder of a customary tenure shall be terminated in his holding except under terms and conditions imposed by the (Uganda Land) Commission, . . . and accordingly, the Public Lands Act, 1969, shall be construed as if sub section (2) of section 24 thereof has been deleted therefrom."

On the basis of this provision it became possible for someone holding land customarily to be forced out of that land by the Land Board granting a lease to another party.

Thus the introduction of these new systems had the effect of subjecting customary systems of land to competition with other systems. In quantitative terms, land subjected to customary tenure system has diminished and continues to do so as the new systems take their hold. Presently, on average there are 2,500 transactions involving mailo titles and 2000 transactions involving leasehold titles at the Registry of Lands. As of 2009, the number of titles at the registry headquarters was as follows: 600,000 Mailo titles; 110,000 leasehold titles; and 17,250 freehold titles. Regardless of these figures, land customarily held still constitutes about 70 % of land in Uganda. However, under the Judicature Act, the principle is clear that customary law is subject to written law. Therefore, a system of written law would prevail over a customary law system.

Case points:

- Kampala City Council v Odindo [1971] H.C.B 32
- Garuga Properties Ltd v K.C.C H.C.C.S No. 576 of 1990; [1989-91] Kalr 129

The Land Reform Decree watered down the rights of those who held land under the Customary system of land holding. The Decree was based on the philosophy that no one should own land absolutely because to do so would put land on those who can't utilise it for economic development and yet those who can have no means of investment.

Thus, under its provisos, all land was declared to be public land to be administered by the Uganda Land Commission in accordance with the Public Lands Act, 1969, "subject to such modifications as may be necessary to bring that Act into conformity with this Decree". (Sec. 1(1)). All existing mailo and freehold estates were converted into leasehold (sec. 2(1)). This was so as to have a uniform tenure of leasehold which could be subjected to developmental conditions.

In regards to customary holdings, section 3 provided for the preservation of the customary tenure system of land holding. However, what was preserved was under sub sec. 2 of that section, i.e tenancy at sufferance. Sec. 3(2) stated:

"…, a customary occupation of public land shall, … be only at sufferance and a lease of any such land may be granted by the commission to any person including the holder of the tenure, in accordance with this Decree."

At common law, a tenant at sufferance can be evicted any time and only enjoys the land at the pleasure of his land lord. The provision therefore meant that a lease could be granted over a tenant's land without his consent (since sec. 24(2) of the Public Lands Act had been repealed).

Under Sec. 3(1) of the Land Reform Decree, customary tenancy could be terminated on conditions approved by the Land Commission which included payment of compensation (also presently reflected in the Land Act).

In terminating these customary tenancies on Public Land, a procedure was set out in the Land Reform Regulations, S.I No. 26 of 1976. Under these regulations, the period of notice and amount of compensation were to be approved by the sub county land committee before termination of tenancy under sub sec. 9 and 10. Unfortunately the Committees were never set up, making the whole procedure difficult.

Case points:

- Paulo Kisekka Saku v Seventh Day Adventist Church SCCA No. 8 of 1993
- Yazamu Ssemakula v L.K. Ssali, H.C.C.S No. 1608 of 1977; (1981) H.C.B 28
- Christopher Katongole v Yusuf Ssewanyana, H.C.C.S No. 50 of 1989; [1990-91] Kalr 41; (1986-89) H.C.B 159

With regard to 'bibanjas', the Decree reserved the bibanja holdings which were converted into customary holdings on public land by sec. 3(3(i)). It states –

" . . . tenancies on land held immediately before the commencement of this Decree, . . . may continue after such commencement subject to the following: -

i) The conversion of any such tenancy into a customary tenure on public land, but without the payment of bussulu, envujjo or the customary rent required by the laws referred to under paragraph (b) of this sub section (i.e the Ankole and Toro Land Lord and Tenant laws).

As such, they now became tenants at sufferance as well. The owners of 'mailo' could now terminate such customary holdings upon giving 6 months' notice with compensation. Security of tenure was no longer enjoyed.

It became illegal to acquire and occupy land which wasn't under the customary holding (sec. 5, L.R.D). One could not increase acreage over free land which was regarded as Public land. Specific areas would only be occupied by free temporary licence which was valid from year to year until revocation (sec. 5(1)). Contravening this law, i.e unlawful occupation would be regarded as an offence under sec. 6 of the Decree, with punishment of a fine not exceeding one year or both. One could only buy existing land after notice of 3 months by the prescribed authority. Security of tenure thus wilted away to be taken over by the land lord or the state.

Economic Interests

The other influence over customary tenure system has been the economic interest. The class customary system was set in a simple society which produces basically for consumption and not evolving around exchange relations (i.e Barter or monetary system). However, with the advent of colonialism, a monetary system based on cash crop economy was introduced so as to push people into producing for incomes and thus tax them so as to get surplus revenue from them.

Such a system which has exchange at its forefront does not recognise relations other than those that involve value. It revolves around individualism which is in contrast to communalism under the customary system. As such, land relations that are basically communal and don't respect the laws of the market place, e.g making profits, revenue, etc; became increasingly outdated because land also became a commodity., e.g the cases on mortgages - Wamala v Musoke; and Waswa v Kigugwe – supra. It thus became possible to individualize customary holdings so as to have dealings of a commercial nature.

Social and Political interests

This influence in customary tenure followed a movement from a society based on native culture and power to an increasingly centralised system where power now lay in the state and those exercising such power, e.g the King, the Chiefs and the Lukiiko. So consequently, laws such as those in relation to land distribution increasingly became peripheral, for instance, clan elders no longer had the authority to distribute a deceased person's land. Respective clan councils were to lay their recommendations before the Kabaka and his Lukiiko/Council and the Kabaka's decision was final. With the decline of such institutions, customary holdings which depended on such, could not hold together.

The customary system of land ownership however being deeply entrenched and best understood survived the colonial era and up to now is the most common system of land tenure.

LAND UNDER THE 1995 CONSTITUTION

According to the then ten point program of the NRM government, there was a policy of righting the wrongs or correcting the mistakes of past leaders. This policy covered the need to correct the injustices caused by previous land laws, such as in particular the Buganda Agreement and the Land Reform Decree. It should be remembered that the Buganda Agreement had by a stoke of a pen rendered so many people to be mere occupants of land previously owned by them.

Ownership of land was given to the Kabaka members of the royal family, high ranking chiefs and other officials of the Buganda Kingdom. There rest of the land was declared to be Crown land and it was the crown to allocate it.

Most of the Baganda therefore became tenants of their own land and they were supposed to pay a form of annual rent/tax (Busuulu & Envujjo).

When the Odoki Constitutional Commission was appointed, one of its terms of reference was to make appropriate recommendations on matters of land Reform Decree.

Recommendations were accordingly made and adopted by Constituent Assembly which promulgated the 1995 Constitution, chapter 15 of the said Constitution is concerned with land.

LAND TENURE SYSTEM IN UGANDA

There are two concepts in land law which though similar is distinct. These are the concepts of land tenure and that of land estate. By tenure we refer to the way in which land is owned and held in a particular jurisdiction.

The concept of land tenure addresses the question the various means or ways under which land is held. The doctrine of land estates addresses the question of what interest one has in land held by him or her. Therefore land estate is concerned or refers to the extent of one's rights in land while the doctrine of tenure is interested in knowing whether one owns land under for instance a leasehold or free hold system. The doctrine of state would consider e.g in the case of the lease the duration of the lease and the restriction that have been attached by the owner of the land to the interests of the person to whom the land has been leased.

A person who holds a lease in 20 years therefore has a greater estate than one with a lease of ten years. Note however that the two terms are often used interchangeably and save for academic purposes, the distinction between the two concepts of not very material.

There are four systems of land tenure recognized under the 1995 constitution and the Land Act 1998 cap 227.

Art 237 (1) (9) the constitution 1995 provides that land in Uganda belongs to the citizens of Uganda and is to vest in the citizens of Uganda in accordance with the land tenure systems provided for in the constitution.

This is an important departure from the provisions of the 1975 Land Reform Decree (LRD) which had vested land in the Uganda Land Commission which was holding the land on behalf of the state and so unlike under the Decree, the system of state paternalism with regard to land has been abolished. The system of state ownership of land originated right from the feudal days where the state owned all the land such that the citizens were mere tenants.

Another implication of the provisions of Article 237 (1) is that none citizens had to be restricted on the type of tenure, Article 237 (2) (c) provides that non citizens may acquire leases in land. This position has been emphasized by the Land Act which limits none citizens only to acquiring leases in land. Art 237 (3) provides for the following 4 systems of land tenure.

1. Customary
2. Free hold
3. Mailo land
4. Lease hold

These systems are explained in section 3 of the Land Act of the Land Act. Note that the land Act was made pursuant to the provisions of the Constitution. Article 237 (9) which require the first parliament elected under the Constitution to enact a land law within two years of the first sitting of the first parliament.

CUSTOMARY TENURE

The constitution does not define the system of tenure so the task was left to parliament to enact a law explaining the various systems. Under section 3(1a) of the land Act 1998 customary land tenure is defined to mean land tenure regulated by law or customs that are limited to a particular description or class of persons.

In brief, it is the system of owning/occupying land under customary law. Since the customs vary from one place to the other, it follows that this system is not uniform deeper insight of each. However, as already pointed out, there were some common features of customary ownership.

However this acknowledges that the land was owned under common customary practices. Communal ownership of land in many customs ownership of land was based on these principle where by all members of the community had access to the land for purposes of grazing, hunting, watering etc. this also included collection of firewood, harvesting timber for construction, etc. the concept of landlessness was virtually unheard of.

Under this system also, there was tendencies for the land to be controlled by political and cultural institutions set up in the community in places where there were the clans i.e. the so called state societies. The kingdom/ruler exercised power over land management.

While in places where traditional institutions such as kingdoms did not exist. Land management was by elders at family or clan level because the community was generally illiterates land was un surveyed and there was no registration.

On important x-tic of customary tenure is that land in owned in perpetuity. This means that ownership is not retreated in terms of time or duration because 3 (1).

Under this system it is recognized that may belong to an individual a family or a traditional institution.

According to Art 237 of the constitution all Ugandans owning land under customary tenure may acquire certificates of ownership in a manner prescribed by parliament. The Land Act under Section 4(1) provides for the acquiring of certificates of customary ownership by any person, family or community. This provision was intended to reform the system of customary ownership which until the 1995 constitution had been widely regarded as not as modern as the other systems. One if the reasons why this system was regarded as inferior was the absence of documents of title.

What is the importance of documents of title in land matters?

Documents of title to land are very important. Possession of a land title is important because a title is document of ownership. A certificate of title can be used as security for a loan from credit institutions such as banks.

In traditional money lending, possession of a land title to be used as security for loan is a pre requisite to being considered for a loan. This loan money can be used to provide capital for development. The capital raised from mortgaging the land can be used to develop the land or to finance other economic activities. In the absence of a certificate of title to the land, traditional money lending institutions often decline/refuse to advance any money to would be borrowers.

It has been argued that where land is registered and the owners have certificates of title land would be regarded as a commercial item, which can be sold to raise money to finance economic activities.

Some scholars have argued that it's for this reason that Buganda was able to develop at a level that was comparatively greater than that of other regions. Possession of land titles is associated with security of tenure. Security of tenure is regarded as an impetus to developing since one carries out developments well knowing that he or she will not be evicted from their land. This point should be analyzed against the background of the Land Reform Decree that had taken away security of tenure of customary occupants of land.

So where one has a land title more especially where land is owned in perpetuity there is a feeling of security of tenure such land owner would be encouraged to carry out meaningful and long lasting development programmes on the land in questions.

Finally possession of land titles is said to reduce on the number of the land disputes. The arguments is that since land title require surveying of the land boundary disputes [that are common with unsurveyed and unregistered land] will be reduced where land is registered and a land little is used to the owner. Boundary disputes are very common in customary tenure

A land title comprises of a deed plan which among others stipulates the exact size of the land either in acres, hectares and decimals. So in the event of a land dispute boundaries can be opened with the guidance of the survey stones. Other problem associated with customary tenure is the communal ownership of the land difficult commercial grazing fields that could be had to control ticks and tick borne diseases and good pasture management cannot be practiced.

Another problem with customary tenure is land fragmentation where people own plots scattered in various places. This problem is worsened by the method of inheritance of the land which leads to dividing of the land into small plots phenomenon which does not favor mechanization of agriculture.

Look at Conversion of Customary tenure to Freehold Under Section 9 to 14 of the Land Act.

FREE HOLD SYSTEM

This is provided for under Section 3(2) of the Land Act. It is an interest in land of a fixed but uncertain duration. It may also be a system where land in owned in perpetuity. Where the interest in land is said to fixed there is usually provision that imposed some condition as to when the tenure comes to an end. For instance it may be provided that an owner may hold the land for as such owner and his/her representative remain alive. In such a case of duration is said to be fixed. However, it is uncertain because no one can tell for how long the owner and his representative will remain alive the owner and his descendants will remain alive. The more common form of free hold however involves holding of the land in perpetuity. For this reason the free hold system is described in English law as the most ample interest one can hold in land. Under a free hold tenure the land is registered and the owners have certificates of title to the land.

A free hold owner has the right to use the land usually with minimum restrictions/ limitations. Under the common law, the free hold owner was said to have the right to use and even abuse the land. However , under the land act it is provided that a free hold interest may be subject to conditions [like the one mentioned above], restrictions or limitations.

According to this provision, a free holder has a right to sell the land mortgaged, lease it or to sell it or create third party rights .a free hold owner may dispose of his or her land by will . the free hold system was introduced in Uganda first in Ankole and Toro under the Toro Agreement and Ankole agreements.

A free hold owner has a security of tenure and therefore can benefit from the advantages of security of tenure such as having the impetus to develop the land. A free hold owner also enjoys all the benefits which accrue from possession of the land title.

One big disadvantages of free ownership in Uganda has been the problem of absentee landlords i.e. people who own land but neither use nor are in actual occupation. This system may leave other people landless and yet the absence of restrictions makes it difficult for government to regulate how free hold owners utilize their land. This has led to suggestions of introducing a land tax which would greatly affect people who own large pieces of land but do use it. It is hoped that if such a tax is introduced, such people would be forced either to utilize the land on to dispose off it to the landless. It also hoped and argued that the land tax could be used to develop the local communities.

A free owner also enjoys all the benefits which come from possession of a land title. One big disadvantage of free hold has been the problem of absentee landlords i.e people who own land but neither use it nor are in actual possession or occupation. This system may also leave other people landless and yet the absence of restrictions makes it difficult for government to regulate how free hold owners utilize their land. It has been suggested that introducing a land tax over land would greatly affect people who own large pieces of land but don't use it. It is hoped that if a tax is introduced, such people would be forced either to utilize the land or to dispose it off to the landless. It is also argued that revenue from the land tax would be used to develop the local communities.

THE MAILO TENURE SYSTEM

This system was introduced by Buganda Agreement of 1900. It is provided for under Section 3 (4) Of the Land Act, like freehold, the mailo system is based on the feudal system of Europe that created landlords and tenants. Under the Buganda Agreement land in Buganda was given out to the kingdom members of the royal family, high ranking chiefs and other officials of the Buganda kingdom. The rest of the land estimated to be 9,000 sqm was declared to be crown land or public land. It was the British Crown or the protectorate Government which hand control over the management of this land. Land was also given to institutions such as schools and religious mission. The land was given to the kingdom and all these other beneficiaries for political reasons. It is argued that the king of Buganda and the members of the royal family had to be appeased by being given large tracts of land running in square miles and hence the term mailo . the other beneficiaries were people who had helped the British colonialists to extend their control to other parts of Uganda in particular, those Baganda who had assisted the British to conquer Bunyoro kingdom.

The legal nature of mailo was not defined under the Buganda agreement. However, an analysis of this system of tenure system shows that it was more like freehold under the land act one distinction which comes out is that the mailo system recognizes the presence of occupants on the land. These were referred to as Bibanja owners. Since mailo is a system which has intended to be unique to Buganda.

These Bibanja holders could have been former owners or people who settled on the land as customary tenants with the consent of the mailo owner.

The customary occupants had rights and obligations to the mailo owner. They were supposed to pay Busulu and Envujjo to the owner. Originally there was no law regulating the relationship between customary occupants and the mailo owners. However, the Busulu and Envujjo law of 1928 was later incited to regulate this relationship. The Bibanja owners enjoyed ownership in perpetuity and their interest in land could be inherited. A kibanja owner also had a right to deal in the land by selling, pledging or even mortgaging the kibanja. It was required however that the kibanja owner introduces the new owner or the mortgage to the mailo owner. A mailo owner therefore had to respect the traditional rights of the occupants. Where the land of a mailo owner was unoccupied by customary occupants, the mailo owner had absolute rights to the land just like a freehold owner. However, where the land was occupied, the mailo owner could only evict the customary occupants where the land was required for a public purpose or if the land was required for some other good cause and alternatively where the kibanja owner had left the land un occupied or un attended for a period of more than six months. Under the Busulu and Envujjo law, eviction of customary occupants on mailo land required a Court order. This position was changed by the Land Reform Decree which declared the Bibanja owners to be tenants and sufferance.

Mailo land is registered land and hence its owners have certificates of title because since mailo land was initially granted to the loyal family and other notables, there were initially few certificates of title since there were few owners who however had large clunks of land. However, as a result of inheritance and selling the mailo land has since been sub divided and there are now many mailo owners. Because it is registered land, mailo owners enjoy the same advantages as those of free hold owners with the only exemption being that, mailo land was subject to any existing Bibanja interests.

Even though the mailo system is more less similar to the free hold system, the two systems have been left to co-exist under the 1995 constitution and the land Act. This could be because of political sensitivity attached to the Buganda land question.

THE LEASEHOLD TENURE SYSTEM

The leasehold is a form of tenure which arises either by contract or by operation of law. It involves an owner of land giving to another person the right to exclusive possession of his or her land for specific period of time usually but not always in return for a periodic payment of money called rent.

Where the lease is created by contract, it is referred to as a contractual lease while a lease created by statute/legislation is referred to as a statutory lease (refer to sect 2 and S 3 (5) Land Act. The periodic payment is referred to as annual because it is paid annually. There is also usually a payment called a premium which is paid once and which usually is the consideration for the lessor's agreeing to lease the land. The owner of the land who leases it out is the one referred to as the lessor whereas the person whom the land is leased is referred to as the lessee.

Most leases that exist today are contractual. However, examples of statutory leases do exist such as those leases formerly granted to urban authorities. Another example is leases are a result of operation of the Expropriated properties Act 1982.

According to section 3 (5), the terms and conditions of a lease can be regulated by law to the exclusion of any contractual agreement. This means that, some of the terms in a lease agreement are implied by law even where a lease is silent on certain terms. The Registration of Titles Act (RTA) has terms to be implied eg. Even if the lease agreement is silent, the RTA implies in the lease the right to quiet possession and peaceful enjoyment of the land by the lessee.

This is also an implied term on the part of the lessee not to part with possession of the land without the prior consent of the lessor (usually, this consent must be written). It is therefore important to examine whether an RTA provision is subject to the lease agreement or vice versa.

A lease is entitled to exclusive possession during the term of the lease the lessor is entitled to a reversionary interest and payment of the considerate i.e. premium and rent. Premium is paid once while the rent is paid annually. The lease agreement may not contain a provision for payment of a premium but if must contain a provision on ground rent. This is because there must at all times be consideration for a contractual lease other wise it would not be binding even where the parties do not intend to charge rent. It is therefore advisable that even where the parties do not intend any further payment of rent, a nominal figure should be provided for as rent. After all, it is the principle of the principle of the law of contract that though there must be consideration, the consideration need not to be adequate. It is sufficient in law if some value is attached as rent failure to pay rent is a serious breach of a contract which entitles the lessor to re-enter the property which means that the landlord is entitled to consider the lease as having come to an end and to resume possession which would have earlier been given away to the lessee.

This is usually done either by taking physical possession with out a court order or by applying to court for an eviction order and for an order determining the lease. Whichever method is used, if the lessor succeeds in re-entering the lease, is said to have been forfeited. In other words, it is said that there have been forfeiture of the lease.

It is an implied term of any lease agreement under the RTA that where the rent falls due for a period of 30 days, a right of re-entry accrues to the lessor. However the law provides for a right to seek relief against forfeiture. This is provided for under the judicature Act. It is only the High Court which has the powers to grant relief against forfeiture. This is because if the landlord has re-entered, there is a need for the Registrar of Titles to note a re-entry in the register book i.e. to cancel the lease and make an entry in the land register and title showing that the landlord has re-entered. Only the High Court has powers to order the Registrar to take any action provided for by law. Land Tribunals, magistrate courts and Executive Committee courts do not have these powers. However, under the Land Act 1998, land tribunals had been empowered to give orders to the Registrar of Titles but this position was reversed by

Act 1/2004 (the Land (Amendment) Act). Even then those powers did not cover relief against forfeiture but only covered vesting orders-orders by court vesting title in registered land in a person in such a way as requires the Registrar of Tiles to registere that pertson as the proprietor of the land. The right to grant relief against forfeiture however, is expressly reserved to the High Court.

If landlord seeks to re-enter by taking possession without a court order, he or she must actually be in physical possession or control of the premises. After taking physical possession, he/she must then apply to the Registrar of titles to note a re-entry.

The Registrar usually requires proof to his/her satisfaction either in the form of statutory Declaration i.e. a statement on oath or a letter from the Local Council Authorities or both confirming that the landlord has taken over actual possession. The Registrar then proceeds to issue a notice to the lessee taking him to show reasons as to why a re-entry should not be registered. The lessee must get a court order stopping the Registrar from continuing with the re-entry. Where the lessee does not get an order stopping the Registrar, the Registrar will complete the re-entry after expiry of the notice. The consequences of not paying ground rent are therefore very serious even though the law gives a right to the lessee to seek relief against forfeiture if she or he has just cause.

NOTE: it should therefore be emphasized that in contractual leases, breach of the terms entitles the aggrieved party to seek redress in court.

Under the public Lands Act of 1969 which is now repealed, urban authorities had been granted statutory leases over land occupied by them. This gave them control and management powers over the land in the urban areas. Where one wanted to acquire a plot of land located in an urban areas. Where one wanted to acquire a plot of land located urban area, he/she had to apply to the respective urban authority which would consider the application. Because of this, the lease hold system became a common system of tenure in the urban areas and most Ugandans who were aware about its existence tended to think that this system was superior to all the other systems of tenure. this however was and is not very correct because of the disadvantages leasehold tenure has.

The biggest disadvantages of lease hold tenure is the limited nature of the interest since a lease has a definite beginning and a definite end, a lease hold owner has a lesser estate than a freehold, mailo land owner or customary tenure. before the 1995 Constitution however, it could be said that a leasehold owner had a better estate than a customary occupant since customary occupants were tenants at sufferance who could be evicted if their land was leased to some one else. It would therefore be right to argue that during the operation of the Land Reform Decree, before customary occupants were granted security of occupancy, the lease hold tenure was better than the customary tenure.

This position has however been decisively dealt with by the 1995 constitution and the 1998 Land act. The other disadvantage of lease hold tenure is the fact that a lease can be terminated by re-entry upon breach of a fundamental contractual term (condition) especially the term regarding payment of annual rent. Where a lease is forfeited, the lessee stands to lose. The presence of this possibility implies that there is relatively less security of tenure under leasehold tenure than under the other three systems. (under the other systems, land is held in perpetuity. This renders the leasehold system to be liable to suffer the problems associated with lack of security of tenure.

N.B: Statutory leases to urban authorities were abolished by the 1995 Constitution since land now belongs to the citizens of Uganda and not to the State. Leases formerly granted by the Urban authorities are now under the control of the District Land Board which has taken over the role of the lessor. A lease may not valued as much as a free hold or mailo or even a customary tenure by credit institutions because of its limited duration and because of possibilities of restrictions on how the land should be utilized or death worth by the lessee. Yet these terms and restrictions are of a binding nature.

Advantages of leasehold tenure

A lease hold owner to a very big extent enjoys the same advantages as those enjoyed by free hold or mailo owner such as possession of certificates of title. When a lease is a created for example over mailo land, a lease hold title would be made out for the lessee, while the mailo owner will keep his or her mailo title which however will show on the encumbrances page that there is a place.

Similarly, if a lessee were to sub-lease his/her land, the sublease would be recorded on the lease title as an encumbrance (i.e. third party interest or claim). Leasehold tenure can be good for development horn the point of view of the Lessor. This is be me a lessor can have his/her land developed by a lessee who at the termination or expiry of the lease would have to leave the deve1opments to the reversioner. Similarly leasehold tenure is of an advantage to a lessor the sense that the lessor can dictate the nature of developments which should take place on his/her land. This, is especially so in the case of land in urban areas where the district Land Board would be interested in ensuring that land is actually put to productive use in line with the development plans of the respective urban authority. Indeed, this aspect of leasehold tenure has in the past and up to the present been used by urban authorities (how the District Land Board) which always impose development conditions esp. during the initial period of the lease usually between 3-5 years.

Development conditions are terms included in a lease agreement stipulating the nature of developments that should be carried out on the leased land and the standards to which those developments should he carried out, Failure to comply with the development conditions within the prescribed time may lead to refusal by the District Land Board or a lessor generally to renew the lease. . I

It's because of this advantage of lease hold tenure that it was the preferred system under the Land Reform Decree since the absence or capacity to impose development conditions on mailo and freehold land have been cited as one of the causes of under development in areas slum areas like Makerere Kavulu and Katanga in Kampala.

CONVERSION OF LEASES INTO FREE HOLD

According to Art 237(5) of the Constitution, parliament was to enact a law whereby any lease that was granted to a Ugandan Citizen out of. former public land can be converted into a freehold. Pursuant to this clause, S 28 of the Land Act makes provision for conversion of leases into free hold. The conditions which must be met before this can be done are that the lessee must be a Ugandan citizen and the lease must have been still running at the time when the Land, Act came into force. Further the lease must be out of former public land.

The citizenship requirement/condition is in line with the principle in our current land law that non-citizens cannot acquire an interest greater than leasehold and even where they acquire a lease hold interest the term must not exceed the period of 99 years.

The other condition that must he fulfilled is that the applicant must satisfy the District Land Board that the lease was validly granted and that there were no customary interests of third parties at the time when the lease was granted.

In case there has been such customary interest, the District Land Board must be satisfied that they were compensated. The board must also be satisfied that all development conditions as well as any other conditions in the lease were complied with.

It should be noted however that if the land in respect of which this application is made exceeds 100 hectares, the Board must be satisfied that conversion from lease hold into freehold will be in the public interest (Sect. 28 (1) (f) Land Act.

Even then, where approval is given in respect of land exceeding 100 hectares, the applicant must pay for the land at market rate as determined by the Chief Government Valuer.

Upon conversion, the process should be perfected by registration under the Registration of Titles Act. In case there was any sub-lease created out of the lease, such sub lease will be automatically turned into a lease according to sect. 28 (3).

Salient Effects of the Constitution and the Land Act on the Customary Land Tenure.

The constitution provides for the acquisition of registrable interests for customary land owners. It also provides for the conversion of customary Tenure to 'freehold. The registerable interests provided for involve acquisition of certificate of customary ownership as provided for as article 237(iv) of the Constitution

Sec 4(i) of the Land act allows individuals, families and communities owning land under customary ownership to acquire certificates of customary ownership of their land. These must be persons who own land previously referred to as public land under the Public lands Act 1969.

Persons who occupy land that, belongs to private individuals or institutions do not qualify to obtain certificates of customary ownership except if and when they buy from/buy out such individuals/institutions. Such persons at e classified as customary occupants and in the absence of buying from absolute owners of the land, they are only entitled certificates of Occupancy.

The procedure for applying for a certificate of customary ownership involves an application in the prescribed form accompanied by a prescribed fee.

The form and fee must be lodge with the Area Land committee. Reg. 3 of the Land Regulations provides for the form which the application must take. It should be noted from the very beginning that the ultimate decision to grant a certificate of customary ownership lies with the District Land Board. The Area Land Coinnlii.tce upon receiving the application must put a notice both on the land in question and in the Parish.

This notice must be put in a prominent place and a is intended to notify the general public who may have objections as well as neighbors who may be affected or persons who may be interested. The applicant and other interested parties have a right to attend the meeting of the Area Land Committee on the date of its meeting' consider the application. Fortunately the committee is not bound by rules of procedure of evidence.

The Committee is supposed to write a report detailing all claims made in relation land and whether such claims have been proved. The Committee must also give it opinion and the reasons Pm its opinions on the third party claims. The committees must then make recommendations of whether to reject or accept the application or whether the application should be allowed subject to some restrictions. in case restrictions are imposed, the same would have to be endorsed on the certificate as notice to the whole world.

The report must then be submitted to the relevant District Land Board (DLB) and the copy of the report sent to the applicant. The Board may accept or reject the application as well as the recommendation. The Board may also require the Committee to make further investigations, however in line with principles of natural justice, all the decisions of the DLB must be communicated to the applicant who however has no right to be heard at this stage In the event Of dissatisfaction, the aggrieved party has a right to appeal to the court which may confirm, vary or, reverse the Board's decision.

If a certificate of customary ownership is to be given an officer called the Recorder is instructed by District Land Board to issue the Certificate. The office of the Recorder is a new office created as one of the changes brought about by, the Land Act in a bid to reform or improve on customary land tenure by making land owned customarily to be registrable. At the Sub-County levels, the recorder is the Sub County chief while in urban areas the Recorder is the Town clerk and in the case of Kampala City the Recorder is the Principal Assistant Town Cleric of the Division where the land is located. Kampala currently has five Divisions namely, Nakawa, Central, Lubaga, Makindye and Kawernpe.

EFFECT OF CERTIFICATE OF A CUSTOMARY OWNERSHIP

According Sec. 8(1) of the Land Act, a Certificate of Customary Ownership is deemed to be conclusive evidence of customary rights arid interests endorsed on such certificate. The land continues to be owned under customary land tenure and customary law continues to govern the rights of third parties on the affected land.

A customary owner may lease the land, sell it, mortgage it, sub divide the land or dispose of it an in any other way hit Subject to any restrictions that may have been imposed. Restrictions operate as encumbrances. Any subsequent transaction in the land after grant of certificate of customary ownership must be notified to the Recorder who must keep a record of such transaction According to Section 8(4) if the transaction is a lease or mortgage or sale, it cannot be effective or conclusive unless and until the Recorder has registered. .

It can be seen that for the time, the law has provided for a system of dealing in customarily owned Land in a way similar to dealings in land registered under the RTA. This is' a welcome step since in the past, most of such transactions in customarily owned and have been done orally resulting in a lot of disputes arid even where they have been written, there has been no central Registry where member of the public who wants to deal in the land may make a search or get information concerning ownership and claims in respect of the land.

Over all, it is expected that certificates of customary Ownership land and also facilitate the obtaining of loan from credit institutions. Sec 8(2) of the Act specifically requires financial institutions to recognize the certificate of customary ownership as evidence of title Sec 8(5) further allows a lender who has lent money on the basis of a certificate of customary ownership to, in the event of default, sell the land and even to sign transfer of such sold land in favour of a buyer.

It should be noted however that customary owners of land have security of tenure which does not depend on the acquisition of a certificate of customary ownership. Whether or not to obtain a certificate of customary ownership is an optional matter and there is no legal requirement that a customary owner of land should endeavor to register his or her land. It is hoped however, that the advantages likely to flow from acquisition of a certificate of customary ownership will encourage people to get certificates of customary ownership. The registration here however, does not involve surveys such as those under the RTA, which must be scientifically done.

Conversion of Customary Tenure to Freehold

The Constitution and The Land Act allows customary owners of land to convert their land from customary tenure to freehold tenure under Section 9.. This presupposes that freehold tenure is superior to customary tenure. If the applicant has no certificate of customary ownership he/she need not first apply for it before seeking to convert from customary tenure to freehold, The procedure to be used is provided for under section 10, it involves applying for consent to the District Land Board. The application must be in a prescribed form. It must he accompanied with the requisite application fee. The application must first go to the Area Land Committee which then has to follow set procedures of verifying ownership, boundaries and any third party claims over the land before making recommendations to the District Land Board, which has the power to make the final decision. A person aggrieved by the decision of the District Land Board may appeal to the Land Tribunal.

CUSTOMARY OCCUPANCY UNDER THE LAND ACT (TENANCY BY OCCUPANCY)

Persons occupying land under customary tenure have been given protection even in situations where the land they occupy is not owned by them but instead belongs to other persons who are registered as customary occupants. The Land Act pursuant to the constitution has defined two types of occupants namely:

- lawful occupants and
- bonafide occupants

Besides the above also the law attempts to cater for occupants who may not fit in the above categories. 'This is done under S. 30 of the Land Act to cater for occupants who may not fit in the above categories This is done under S 30 of the Land Act which specifically caters 'for occupants who had stayed on land for a period of less than twelve years before the coming into force of the Constitution and hence do not qualify as bonafide occupants as shall be seen later.

Meaning of Lawful Occupants

According to S 29(1) of the Land Act, lawful' occupants are persons who occupied land by virtue of the Busulu and Envujo Law of 1928 or the Toro Land Lord and Tenant Law of 1937. These laws were enacted to cater for interests of persons who had lost land ownership either as a result of the Buganda Agreement of 1900 or as a result of creation and giving away of freehold land in Toro and Ankole respectively. The term lawful occupants also refers to persons who entered on land with the consent of the registered owner either by purchasing or acquiring interests or any other lawful way. What seems paramount here is for the occupant's occupation to have been with the consent of the registered owner or if he or she occupied it before the owner.

Further, in order to cater for the interests of persons who were affected by Land Reform Decree but without frill compliance with that Decree, Lawful occupants also includes and caters for a class of persons who never received compensation for their developments when their land was leased out by the Uganda Land Commission. Also protected as lawful occupants are persons whose interests, were - never disclosed 'at the time the land they to occupy was leased out, It should be recalled that the Decree required that customary occupants be compensated for their developments on the land.

Lawful occupants also cover persons whose interests were never disclosed at the time of leasing out the land. As seen above, the Decree required that customary occupants be compensated before they could be evicted or be required to vacate. Under the above situations where the registered owner of the land did not comply with the Decree 'for one reason or the other, he or she is under duty to recognize such occupants as lawful occupants This should be contrasted with a situation where the occupants had received the compensation but had referred to vacate the land such persons lost all rights because then interests would have been extinguished.

S.31 (1) of the Land Act confers security of occupancy on lawful and bonafide occupants. This security of occupancy and hence the fact that an occupant has not obtained a certificate of occupancy cannot be used to deny him or her security on the land. Refer S. 31(9) of the Act.

Indeed the occupants are not obliged to apply for certificates of occupancy.

Bonafide Occupants:

Sc. 29(2) defines bonafide occupants as persons who before the coining into force of the Constitution had occupied and utilized land for 12 yrs without being challenged by the registered owner or by the Agents of the registered owners. The term also includes persons who were settled on land by the government or agents of government before the coming into three of the Constitution. What is not defined is the meaning of the word "Challenge" which is used in Sec. 29(2).

Courts will have to be guided by the original meaning of this word as well as by. 'Drawing examples from cases decided under the limitation Act. Courts may also have to use cases that discuss the principles of adverse possession and prescription. However, while drawing from these examples, the courts will have to bear in mind the rationale behind the protection under S. 29 of the Act which was to give as wide protection as possible to occupants of land thereby solving the problems that had been created by the 1900 Buganda Agreement and the Land Reform Degree of 1975. Under the Limitation Act, challenging would have required a court action or evicting of the occupants Under the Land Act however, it has been suggested that other actions by the registered owner may be held to amount to challenging e.g. if the occupant had been reported to a local chief/authority.

Sec. 29(4) excludes licenses from claiming protection as lawful or bonafide occupants of land. Licensees are persons who are allowed to use or occupy land for a particular purpose without any intention of creating any interests of a permanent nature. For example, a person allowed to operate as a shoe shiner on some one's verandah cannot claim to be a tenant by occupancy even if he stays on the land for a very long time. Similarly, persons allowed to cultivate church land are licenses who are not allowed to claim to the bonafide occupants.

Protection is also given to people who purchase or otherwise acquire land from persons who qualify to be bonafide occupants.

The general term used to refer to the two classes of occupants is **"tenant by occupancy** ." Which therefore refers to both lawful and bonafide occupants.

'The other contribution of the Land Act is with reference to the regulation of the relationship between occupants and the registered owners of the land is that the law initially fixed ground rent at not more than 1,000 shillings which meant then at the rent could actually be fixed at a lower value by the District Land Board

Under the Land (Amendment) Act 1/2004, the rent is to be fixed by the District Land Board but subject to the approval of the Minister in charge• of land. Even then, it should not be economic rent i.e. rent payable that takes into consideration the value of the land. In other words, the rent payable is regardless of the value on size of the land-hence is not economic rent.(Section 31(3) and (5)

Tenants by occupancy are entitled to certificate of occupancy under '33(1) of the Land Act. The application must be made to the registered owner of the land. The application must be in the prescribed form as provided by the regulations (Land Regulations 2001).

The certificate of occupancy can only be issued to tenant who has paid ground rent. Tenants by occupancy who default in paying ground rent for a period of 2yrs must be given notice by the registered owner to show cause why the tenancy should not be terminated for nonpayment of rent. It is mandatory that a copy of the notice be sent to the Area Land Committee. The tenant is then given a period of one year' from the date of the notice within winch to pay If he/she does not pay within one year, the registered owner of the land is allowed to refer the matter to the Land Tribunal. It would appear that according to Sec. 31(7) that only the Land Tribunal can order termination of the tenancy. In other words, a tenant by occupancy cannot be evicted without a court order.

The other right given to tenants by occupancy under section 34 is the right to assign, sublet or pledge his/her interest in the Land. This must be done with the consent of the registered owner of the land. If the registered owner refuses to give consent within a period of 6 weeks from the date of receipt of the application, the tenant is entitled to refer the matter to the Land Tribunal which may grant or refuse consent or which give the consent but subject to some conditions. '

According to S. 34(9) consent is mandatory i.e. if there is no consent to a transaction, the transaction will he void and will not pass any interests. 'The only transaction or passing of an interest which does not require consent is inheritance.

Further, under section 35 of the Land Act, where the tenant by occupancy wishes to sell his/her interest in the land, he/she should give the first option of purchase to the registered owner, provision was made with the hope that it would resolve the problem of conflicting interests over the same land by the registered owner buying out the tenant or vice versa. Naturally, the interests of tenants by occupancy conflict with those of registered owners. The same requirement is imposed on the registered owner who wishes to sell his/her interests in the land. He /she is equally required to give the first option to the tenant by occupancy.

According to S 30(1) people who do not qualify as bonafide occupants are under duty to identify the registered owners with a view to regularizing their stay on the land.

The negotiations can be conducted with the help of the mediator which is a new post or office under the Land Act.

TENANCIES

A Tenancy is an interest in land for a relatively short duration of time usually not exceeding 3 yrs. The duration of a tenancy is shorter than that of a lease. However, both the term "tenancy" and the term "Lease" almost refer to the same thing though the practice in Land law is to refer to interests for a short period as tenancies while interests longer than three years are referred to as leases. Under the RTA leases are registrable as encumbrances on the registered land from which they are crated whereas tenancies need not be register able.

In a tenancy just like in a lease the landlord or she land lady gives exclusive possession of the property to the tenant subject however to any rights which may he reserved in the tenancy agreement to the Land lord/lady. Unlike in a lease, a tenant- does not get a certificate of title to the property but only acquires the right to possess the property. A tenancy like a lease usually results from an agreement and therefore a tenancy agreement is enforceable by the parties especially where there is breach of its terms.

A tenancy agreement may be oral or written, it's terms may be implied or expressed. Usually, it is the duty of the tenant to maintain the interior of premises while the landlord will have to maintain the exterior like walls and fences. Usually for major internal repairs, is the responsibility of landlady. While the tenant is untitled to immediate vacant possession at the commencement of the tenancy, the landlord is entitled to immediate vacant possession upon termination of the tenancy.

The landlord is entitled to re-entry upon breach of contract terms while the tenant will usually have a remedy of court action to recover damages in the event that the contract is breached. Courts are reluctant to order specific performance since specific performance of contracts is an equitable remedy which is therefore discretionary. Moreover, courts are reluctant to give orders which are hard to enforce or whose enforcement is hard to supervise. For instance, a court may be reluctant to order that a landlord' -specifically performs a tenancy agreement.

Damages may be seen as an appropriate remedy for the tenant.

The landlord is also entitled to distress for rent. The right to levy distress entitles the Land Lord/lady to attach the immovable property of the tenant and sell them to recover rent arrears. This should not extend to attaching the basic necessities of the tenant such as beddings and cooking utensils. The Landlord may also instruct bailiffs under the Distress for Rent (Bailiffs Act) to levy the distress. For this purpose, this right does not include the right to evict the' tenant even though the law' allows self-help like re-entering the property. The best way of evicting a tenant should be by getting a court order, A bailiff may have to get a court order before levying distress, The order has to be given by a Chief Magistrate who usually require proof of ownership of the land(certificate of title or other document) and an affidavit showing the def w it in rent payment.

TYPES OF TENANCIES

PERIODIC TENANTS.

These include weekly, quarterly half yearly and over similar tenancies, A periodic tenancy continue from the one period to another until its terminated by proper notice. It may he created expressly or impliedly. It's created by implication where rent is paid with reference to a fixed or given period or where a tenant for fixed term holds over i.e. Remains in occupation after his or her term has expired and continues to pa' rent which is accepted on a periodic basis. The periodic tenancy may be terminated by notice depending on agreement of the parties but where there is no prior agreement a yearly tenancy requires at least 6 months' notice while other periodical tenancies require a notice equivalent to the period of the tenancy for example a monthly tenancy would require one month notice. it is acceptable to pay to the landlord or to the tenant an amount of money equivalent to the rent which would be paid for the duration of the notice e.g. if a tenant is entitled to one month's notice, but the Landlord is not willing to wait for one month to expire, the landlord may pay a sum equivalent to one months' rent. This is referred to as "payment in lieu of notice.

Tenancy at Will:

A tenancy a will arises when a person occupies land as a tenant with the Landlords' consent on the understanding that the tenancy may be terminated at any time. This kind of tenancy may be terminated by notice, or on the occurrence of an event which makes its contribution impossible. A tenancy at will may be converted into a periodic tenancy by the way the rent is paid and accepted.

A Tenancy at sufferance: This arises when a tenant having entered upon land under a valid tenancy holds over after expiry of his/her tenancy without the landlord's objection or: consent. Under this type of tenancy, no rent is payable although the tenant is liable to compensate the landlord for the use and occupation of the land. This kind of tenancy may be terminated determined at anyone time but like a tenancy at will may be converted into a periodic tenancy.

Legislation may however, modify the common law position regarding any of the above customary occupants of land to be tenants at sufferance gave them rights to compensation for their developments on the land and to notice of 6 months.

Contents of a Tenancy Agreement.

A tenancy agreement should at least contain the following terms,

A description of the landlord and tenant together with their addresses.

A Description of the premises

Duration of the tenancy and whether renewable or not

The consideration i.e. the rent and the mode of payment of the rent whether weekly, monthly, quarterly and whether such rent is payable in advance or in arrears i.e. after staying in the premises.

The users of the premises i.e. to what use are the premises to be put- residential, commercial?

Restrictive covenants, if any, and in particular tenant not to do anything that may be a nuisance to neighbours.

Right 'to quiet possession by the tenants but subject to right of access for the landlord e.g. upon giving a stipulated notice.

Right to renew the tenancy and how and when to express interest to renew.

Termination of tenancy, how to communicate intention to terminate and how long the notice must be together with payments in lieu of notice.

Address of service of the notices.

CO-OWNERSHIP OF LAND

Co-ownership in land law (common law) refers to holding of title to the same land by two or more persons.

There are various types of co-ownership known in land law, the most important however are:-

a) Joint tenancy

b) Tenancy' in common.

JOINT TENANCY:

'This is where two or more persons jointly own land as tenants or owners but in, such a way as though they are a single owner. There are two main features of this tenancy.

1. The right of survivorship
2. Presence of the four unities

The Doctrine of survivorship operates to determine the ownership of the property upon the death of one or more of the joint tenants. Where the right of survivorship applies, then when one joint owner dies his/her interest in the land passes to the surviving tenant, or tenants, If there are more than two original joint tenants, the process continues until there's only one survivor who then becomes entitled to the whole property as one single owner.

The interest of a joint tenant cannot be passed on to his/her estate upon death, Neither can a joint tenant validly give away his/her interest in jointly held property by a will. The right of survivorship takes precedence over the will of the deceased joint tenant. And any gift by will of the interest in the jointly owned property therefore will be void.

'Therefore if property is to be held by two or more persons who are interested in having, their beneficiaries (other & than the co owner) benefiting from it after their death it is advisable that land should not be held by them as joint tenants since the doctrine' of survivorship will defeat the claims of their descendants or legal representative.

When a joint tenant dies, the surviving tenant only has to notify the Registrar of titles of the death of such tenant whose name would then be cancelled from the title such that the property is left, owned by the surviving tenant/tenants. There is no need to apply For letters of administration. Since there will be no interest to pass over, all one needs is proof of death. Otherwise by operation of law, the property becomes that of the surviving tenants(s) to the exclusion of the estate of the deceased look at ***Willcox v McLeroth*** where court held that according to common law the estate of each of the deceased must be administered as intestacy it being presumed that they both died at the same time. The effect of the rule is that in event of death of joint tenants in a common calamity, their respective heirs would inherit the land as if the deceased owned the land in tenancy in common.

Note: The right of survivorship does' not apply where the land was acquired and registered under joint tenancy but the purpose was for business such as a partnership.

Under joint tenancy, there are four unities namely;

The case of **Ag Securities v Vaughan (1990) 3 ALLER 1058** illustrates the 4 unities

a) possession
b) interest
c) title and
d) time

a) **Possession**: Each joint tenant is entitled to possess any part of the land if a tenant can point to a particular part of the land as his/hers to the exclusion of the other, than there's no joint tenancy because there will be no unity of possession. It is said that under a joint Tenancy, all the joint tenants own everything but nothing in particular.

BULL VS. BULL (1935) 1 QB 234 In this case, a mother and son owned a house together. The son sought to evict the mother after a misunderstanding. It was-held that where a joint tenancy is established, no single tenant can exclude the other from possessing the property.

Interest: The interest of each joint tenant should be the same in extent nature and duration. This means that there can't be a joint tenancy between freeholder and a leaseholder because the nature of their interest is different. Neither can there be a joint tenancy between a tenant having a lease of 14 years and another with lease of 120 year. Similarly where rent from the property is not shared equally, there cannot be joint tenancy in respect of the property from which the rent is derived.

Ag Securities v Vaughan (1990) 3 ALLER 1058

The house of lords held that Mr. Vaughan with his co-tenants were licensees only and not tenants, because none had exclusive possession and their rights could not be amalgamated to give a joint lease, while Mr. Villiers and Mrs Bridger did have exclusive possession of their room and therefore did have a lease.

Title: The title or ownership of a tenant must be created by the same act or instrument e.g. where land is purchased by A&B and is simultaneously transferred to them jointly using the same transfer form.

If there are two transfer forms in respect of the same property but in favor of different transferees, there will be no unity of title because there would be different acts done at different times.

The case of **Ag Securities v Vaughan (1990) 3 ALLER 1058** illustrates the above 4 unities. The appellants owned a 4 bedroom home, under separate contracts and entered at different times, They granted a right to occupy the flat to four individuals refers to as flat shares. The contract entitled each occupant to use the premises in common with other people who might from time to time have a similar right. The rent payable by each occupant varied. The court of appeal held that this was not a joint tenancy.

Time: Unity of title alone is not enough, the interest of each tenant must have arisen at the same time. Under common law however, an exception is provided for spouses and also for gifts under a will, A joint Tenancy cannot arise where X conveys a particular portion of his land to A in January and another portion to B in March because these interests would have arisen at different times.

A spouse exception however allows spouses to own as joint tenants what was acquired previously by one spouse before marriage.

Under the RTA, transfer of land to two or more transferees without stipulating the type of co-ownership will operate as a joint tenancy with the exception of property acquired for business such as in a partnership.

TENANCY IN COMMON (TIC).

Like joint tenancy, TIC is a form of co-ownership. However under this type of co-ownership, each tenant in common has a fixed share in the property even though the shares are undivided.

It follows that each tenant has a distinct share or interest and as a result the right of survivorship does not apply. When one tenant in common passes away, his/her undivided share in the property becomes part of his or her estate and passes under his/her will or in intestacy.

The other unities under Joint tenancy could be absent but as long as there is the unity of possession. For instance the unity of interest may be absent such that the tenants do not hold equal shares but for as long as they all posses the property, a tenant in common will be said to exist. Because the right of survivorship does not apply, a tenant in common is free to give her/his interests in the property as wishes without any restrictions or without having to seek consent from the other co- owners as is required under joint tenancy where individual acts not consented to by the other joint tenant(s) would be null and void.

TERMINATION OF CO-OWNERSHIP

Co-owner ship whether J.T or TIC may be determined in the following ways:-

1. **Partition:** A co-tenancy may be determined by the voluntary subdivision of the property such that each co-owner becomes the sole owner of the piece allocated to him/her.
2. **Sale:** If the co-owners sell their property this automatically brings to an end their co-ownership but the co-owners remain entitled to their respective shares in the proceeds of sale.
3. **Union in a sale by Tenants**: where the property subsequently becomes vested in a sole owner, the co-ownership is there by terminated.

A case in point is where under a joint tenancy with two joint tenants, one of the two 'dies and the property becomes vested in one owner thereby terminating the Joint tenancy. The same would happen if a joint tenant sold his/her interest to the other joint tenant.

Severance: Although under joint tenancy, no tenant has a distinct share in the property but a share equal in size to that of the co-tenant, if joint Tenants decide to severe their interests, joint tenancy would be terminated, this can be done by introducing words which denote the particular share of each joint tenant.

In the case of **Robertson v Fraser** it was held that anything which in the slightest degree indicates an intention to divide the property must be held to abrogate the idea of joint tenant, and to create a tenancy in common.

LEGAL AND EQUITABLE INTEREST IN LAND

A legal interest in land is one where all the formalities of creating an interest in land are complied with as required by law. The relevant law in this case is the Registrations of Titles Act.

According to S.3 of the Registration of Title Act the Registration Title Act is the supreme law governing registered land and dealings in such land. To get a legal interest in registered land by way of buying requires that the parties to enter into a sale agreement. After the sale agreement, the parties should execute a transfer in favour of the buyer and the transfer must be registered by the Registrar of Titles who causes the name of the seller to be cancelled and that of the buyer to be entered on the title as the new owner. If the parties stop merely at making a sale agreement, no legal interest is created. However, under equity an equitable interest would arise, this emphasizes that for there to be a legal interest there must be a sale coupled with the registration of the transfer.

But even then, if the parties only stop at signing the transfer and do not proceed to have it registered, only an equitable interest arises. The transfer is done on both original and duplicate certificates of title. When land is surveyed and registered under Registration of Titles Act, two original titles are made. One original remains in the land Registry and is sometimes referred to as the *white page or the original title* while the other original is passed on to the registered owner of land and is technically referred to as the *duplicate certificate of title.*

In RE IVAN MUTAKA (1980) HCB 27 it was stated that A transfer of land is therefore not perfected unless there's registration. Under the law governing registered land, the term sale includes gifts.

There are serious legal implications between possessing land under an equitable interest as opposed to owning land under a legal interest. Equitable interests can also be created' where there are no documents as in the case of oral dealings.

It is the position under equity that an equitable interest in land is as good as a legal one. This was the principle laid down in the celebrated case ***of Walsh Vs Lonsdale (182) 21 CHD 9.*** In this case L agreed to lease a mill to T for seven years but no agreement was formerly executed. However, the tenant went into possession but defaulted in paying rent as per the agreement. L then distressed for rent (attached the property of T). The lessee then sued claiming that the distress was wrongful because the remedy of distress is not an equitable remedy and therefore it could not be applied where there was no legal lease but only an equitable one. It was held interalia that:-

(i) Since the distress could have been lawful had the formalities been followed and that since equity treated the parties as if they had followed the formalities, the distress was lawful in equity.
(ii) The relationship between the parties was the same as that which would arise, if a legal lease had been created
(iii) The equitable rule prevailed over the rule at common law and hence even at law T could not complain.

According to this case therefore equity looks as done that which ought to be done. Moreover, equity looks at the intent rather than the form.

This implies that where parties have agreed to do something but failed to formalize it, then equity looks at it as though they had formalized the transaction.

The net result of the above Is the principle in law that an agreement for a lease is as good as a legal lease and the same applies to an imperfect lease which is enforceable as an agreement for a lease. This principle has been applied to interests other than leases. For instance it has an applied to mortgages. In ***the case of General Parts VS. NPART*** an imperfectly executed mortgage was treated as an equitable mortgage by the Supreme Court of Uganda.

LIMITATIONS OF THE PRINCIPLE LAID DOWN IN *WALSH VS. LONSDALE*

The principle that an equitable interest is a good as a legal one is not justified where there is need of the remedy of specific performance. Specific performance is an equitable remedy and is therefore discretionary that is: to say it is only given in certain cases for instance where damages cannot cure the injury. Where a plaintiff has an equitable interest in land he/she will lose the claim in the land if the court considers that damages if awarded would satisfactory cure the injury.

Because of the discretionary nature of specific performance, persons claiming equitable interest do not have rights against the whole world as those with legal interests. Specific performance is a remedy where party who has breached the contract is ordered by a court or tribunal to specifically do what he/she contracted to do. This remedy may not be given where the person seeking the remedy does not have clean hands, as would 'be the case where the plaintiff claiming specific performance has not performed a part of the contract.

Finally equitable interests are not good against bonafide purchasers for value.

The Concept of a Bonafide Purchaser.

A *bona fide* purchaser (BFP) referred to more completely as a *bona fide* purchaser for value without notice – is a term used in the land law to refer to an innocent party who purchases property without notice of any other party's claim to the title of that property.

Hajji Nasser Kitende vs Vithalidas Haridas & Co. Ltd Civil Appeal No. 84 of 2003, Mukasa Kikonyogo DCJ citing Hannington Njuki vs Nyanzi held that for a purchaser to rely on the bonafide doctrine he must prove that:

He holds a certificate of title.

He purchased the property in good faith.

He had no knowledge of the fraud.

He purchased for valuable consideration.

He vendors had apparent valid title.

He purchased without notice of any fraud.

He was not party to the fraud

A BFP must purchase for value, meaning that he or she must pay for the property rather than simply be the beneficiary of a gift. Even when a party fraudulently conveys property

to a BFP (for example, by selling to the BFP property that has already been conveyed to someone else), that BFP will, depending on the laws of the relevant jurisdiction, take good (valid) title to the property despite the competing claims of the other party.

As such, recording one's interest protects an owner from losing that interest to a subsequent buyer who qualifies as a BFP. Moreover, some jurisdictions require the BFP himself or herself to record in order to enforce his or her rights. In any case, parties with a claim to ownership in the property will retain a cause of action (a right to sue) against the party who made the fraudulent conveyance.

A BFP will not be bound by equitable interests of which he/she does not have actual or imputed notice, as long as he/she has made "such inspections as ought reasonably to have been made".

KATARIKAWE VS. KATWIREMU AND ANOR (1977) HCB 187/2/1973.

The plaintiff instituted the case against the 1st and 2nd defendants on a contract for sale of land between him and the 1st defendant. The 2nd defendant was joined because at the time of filing the case he was the registered owner of the land in dispute. The plaintiff had occupied• the land since 1971 when the contract was concluded. It was held that though in a contract of sale of land an unregistered instrument of transfer is not effective to transfer title, the purchaser acquires an equitable interest in the land, which is enforceable against the vendor. Therefore, the law does not totally undermine unregistered instruments if there is a reasonable defense submitted or the doctrine of Equity being at play.

DOCTRINE OF NOTICE

The concept of notice refers to the knowledge of an existing fact; According to Prof. Bakibinga, the rationale of the doctrine is to prevent a buyer of superior title from setting it up against earlier owners of inferior interests which affect the property. The effect of this is that the buyer of the legal estate with notice of the prior equitable interests affecting the estate takes it subject to prior equitable interests in this regard;

"Equity looks at the substance rather than the form" Notice can be Actual, constructive or imputed. And it is based on the maxim "he who comes to equity must come with clean hands".

ACTUAL NOTICE; This is a situation where the buyer of an estate has actual or express notice of a prior interest at the time when he or she made the purchase or at the time before the purchase was completed .

In regard to the relevance of the doctrine of notice .**The Registration of Titles Act (r Section *64*** encompasses the doctrine and it provides that a buyer of land shall hold that land subject to such encumbrances as notified to the registrar. In ***Sempa Mbabali v w k kidza*** Odoki J held that the defendants plea of bona fide purchaser could not stand because they knew all along that that part of land they had purchased was for burial grounds and also the seller had sold them the land before his share of the land had been ascertained. This therefore means that his hands were not clean.

CONSTRUCTIVE NOTICE; defined by Salden j in ***Williamson v Brown*;** where a purchaser has knowledge of any fact sufficient to put him in inquiry as to the existence of some right or title in conflict with that he is about to purchase he is presumed either to have made the inquiry and ascertained the extent of such prior right or to have made the inquiry and ascertained the extent of such right or to have been guilty of a degree of negligence equally fatal to his claim. The prior interest in land should always be put into consideration in***U.P.T.C V Lutaaya,*** **Karokora j.s.c** held thus"A proprietor takes land subject to the interests of any tenant in the land in possession even if he or she had no actual notice of the tenant".

<u>IMPUTED NOTICE</u>; notice which is neither actual nor constructive may be imputed to the buyer through actual notice to the agent. It's established in agency law that that notice to an agent is notice to the principal. In this regard, a buyer who instructed his agent to buy property at an auction sale was taken to be affected by notice of an equity which came to his notice during the course of the transaction. In ***sejjaka nalima v Rebecca Musoke*** Odoki j a held that the appellant was not bona fide purchaser without notice owing to the fact that Musoke and co advocates who were acting as her agents had known of the alleged fraud concerning the disputed property.

Working Out Priorities

Earlier Legal Interest and a Later Legal Interest

Where two parties have received legal interests, the general rule is:

The **earlier legal interest prevails** to the extent that they are inconsistent.

This is because once the legal interest was passed on to the earlier holder, the vendor no longer possessed that title anymore, and could not have passed that title to the later holder (*nemo dat quod non habet*).

Earlier Legal Interest and a Later Equitable Interest

This is when the vendor passed on legal interest to one person (**the legal title holder**), and then passed on an inconsistent equitable interest in that same property to another person (eg, through part performance). The general rule in such cases, as before, is:

The **earlier legal interest prevails** to the extent that they are inconsistent.

However, an **exception** is made when the earlier holder (the one with the legal interest) has been **guilty of some conduct which in equity would be considered as justifying the postponement of his title**. Examples include:

- The legal titleholder created the later interest through some declaration of trust, agreement or other assurance.
- The legal titleholder acted fraudulently.
- The legal titleholder failed to get in the deeds from the vendor, thereby enabling the vendor to hold itself out as the legal owner or the authorised agent for the legal owner.
- The legal titleholder has given another person authority to deal with the property and that authority has been exceeded.

Earlier Equitable Interests and a Later Legal Interest

This is when the vendor passed an equitable interest to one person, and then passed an inconsistent legal interest to another. It is governed by the **doctrine of bona fide purcasher for value and without notice**, which states:

If a purchaser acquired a legal interest

1. In return for **valuable consideration** (ie, not a gift etc); and
2. Had **no notice** of prior equitable interests

the **later legal interest defeats any prior equitable interests** to the extent which they are inconsistent.

On the other hand, if the purchaser of a legal title does have notice of the prior equitable rights of a person, his later legal title will be defeated by the known earlier equitable title. There are three types of notices:

1. **Actual notice**: actual knowledge on the part of the person in question.

- Suggestions in overhead conversation are not actual notice.
- Reasonably precise information, even from a stranger, cannot be safely disregarded.
- Trustees administering several trusts have statutory protection against being affected in one trust by facts received in another.

2. **Imputed notice**: actual or constructive knowledge received by an **agent of the purchaser**.
    - A principal is presumed to know what his agent knows, except any fraud on behalf of the agent.
3. **Constructive notice** - information which would have been discovered in either of the following situations:

    1. By making the usual searches and enquiries in this type of transaction; or
    2. By making the inquiries demanded because of some relevant fact of which that person had actual notice and would have put a reasonable person on inquiry.

    - In other words, a person that fails to make proper inquiries will be held to have 'constructive notice' of the equitable interests that would have been discovered by those enquiries.

Earlier Equitable Interest and Late Equitable Interest

This is when the vendor passed an equitable interest to one person, and then passed equitable interest again to another person. The general rule is:

The earlier title only succeeds if the two equitable interests are **equal in all respects. If one has better equity to another, the time factor is immaterial**.

This was discussed in *Rice v Rice*

- The 'time' of the equitable interest should only be used as a last resort to determine priorities between equitable interests. Instead, the court examines the 'merits' of the interests.
- The merit is examined by looking at:
    - Nature and condition of the equitable interest.
    - Special circumstances of the interest in this case.
    - The whole conduct of the party in this case (eg, failing to make proper inquiries will diminish one's merit).

There is a competing line of authority, beginning with *Lapin v Abigail* and confirmed in *J&H Just v Bank of NSW*, that **reverses** the *Rice v Rice* order: it says that the first-created equity has priority, unless on the merits there are reasons why it should be postponed. At any rate, there is little practical difference between the two.

An **exception** to the general rule is the concept is made in the instance of a **notice**

- If the later equitable titleholder had notice of the prior equitable interest, the prior equitable interest would win.

  Another example determining priority between equitable interests is *Shropshire Union Railways & Canal Co v R*:
- If the trustee sells trust property to a purchaser without notifying him of the equitable interest of the beneficiary, the beneficiary's equitable interest will prevail, and the trustee will be in breach of trust.
    - However, if the trustee failed to obtain the transfer deeds, the beneficiary will lose priority.
    - The beneficiary can lose priority under the general principle of *Rice v Rice* as well.